

Verdant Health Advisory LLC

www.verdanthhealthadvisory.com

February 20, 2024

Sullivan, Hall and Kelly

Attention: Megan Wells, Director of Operations

Dear Ms. Wells:

We are glad that Sullivan, Hall and Kelly has asked us to look closely at its revenue cycle, and we are writing to set down, in one place and in plain language, the understanding on which we will carry out that work, so that what we believe we have been engaged to do and the terms on which we have agreed to do it match, in every particular, what you understand them to be. Our purpose in writing is not to paper the relationship but to make certain that we begin it already agreed on its shape, and if any line below reads differently from the conversations we have had with you, we would be glad to hear about it and to revise it before you sign.

The Work You Have Asked Us to Do

You have asked us to diagnose your revenue cycle from end to end and to tell you, with figures you can stand behind, where it is losing money that it ought to be keeping. We will follow a claim from the moment a patient is registered through coding and charge capture, submission, payer adjudication, denial and appeal, and the collection of what remains, and at each of those points we will measure what is leaking, why it is leaking, and how much of it is genuinely recoverable, so that the conclusions we hand you rest on the cycle as your own data describes it rather than on our impressions of it.

So that the edges of the work sit on the page and not in anyone's memory, this is a diagnostic and not an implementation: we will tell you what we find and what we recommend, but installing new processes, renegotiating payer contracts, or standing up a denials-management function are each separate undertakings that would be the subject of their own letter. The study reaches only the revenue cycle of the operations you have named for us, it does not opine on the fair market value of any physician arrangement, and it is neither an audit of your financial statements nor an assurance of any kind upon them.

How We Mean to Go About It

We expect the work to move through three unhurried phases, and we describe them here so that you know what to expect of us and, roughly, in what order they will come. In the first we will gather and reconcile the source data alongside your billing and operations staff and agree with them, in writing, on the definitions we are working from, because a revenue-cycle study is only ever as sound as the boundaries drawn around each measure it reports.

In the second we will work through the leakage point by point, testing each apparent loss before we rely on it and separating the losses that are genuinely recoverable from those that are simply the cost of doing business with a given payer. In the third we will write our report, review a draft of it with you so that any factual error about your operations is caught and corrected before the document is final, and deliver our findings with the recommendations that follow them kept plainly distinct and labeled as recommendations.

Who Will Be Doing the Work

Susan Clark, a Principal in our advisory practice, will lead the engagement and be your point of contact on any question of finding or method; she is careful with the language of a report to a degree your general counsel will appreciate, and she will put her name to what we deliver. Daniel Alvarado, also a Principal, will carry the economics of the cycle, reconciling the cost and payer detail until each line of it tells the truth, and you and your team will see a good deal of both of them as the work proceeds.

I will keep a partner's eye on the engagement from beginning to end and will remain available to you on any matter of scope, staffing, or terms. If at any point the work or the people are not serving you as they should, I would ask that you bring it to me early, and a quiet word is very often all it takes for us to put a small thing right.

Fee and Commencement

Our fee for the work described above is \$53,000, fixed for that scope, and we are prepared to begin on March 1, 2024. Should you ask anything of us that falls outside the scope set out here, we will tell you so in writing and quote it to you separately, and we will take it up only once you have asked us, in writing, to proceed.

Fees and Payment

We will bill against the fixed fee monthly as the work goes forward, and each invoice falls due within thirty days of its date. Any out-of-pocket costs are billed at cost and

sit outside the fixed fee, and should a question ever arise about an invoice we would ask you to bring it to us directly and plainly, as we will bring any question of ours to you.

Term and Termination

The engagement begins on the date named above and continues until we have delivered our final report and you have settled the fee for it. Either of us may end it on written notice, in which case you would owe us for the work properly done and the costs incurred to the point of notice, and we may also step back where our professional obligations require it, including were we ever asked to state a conclusion the analysis does not support, which is not a report this firm will sign.

Confidentiality

We will treat what you share with us as confidential, use it only for this study, and hold our findings and our report in the same confidence, keeping your data within the small team named above and disposing of it properly once the work is done. Because revenue-cycle data carries patient and financial detail of a kind that must travel carefully, we would ask that any question of wider distribution of our report come through us first, so that we can point out anything that ought not to circulate freely.

Limitation of Liability

Our total liability arising out of this engagement is limited to the fees actually paid to us under it, and we are not responsible for indirect or consequential losses, lost revenue among them. We say this plainly rather than in fine print, because a diagnostic is a considered judgment formed on the data available at a moment in time, and it cannot promise a recovery that depends on decisions, payers, and conditions lying outside our work; what you engage from us is our care and our judgment, honestly exercised and set out with their limits, and that is exactly what we undertake to give you.

Governing Law

This letter and the work it describes are governed by the law of the state in which our firm keeps its principal office, without regard to its conflict-of-laws rules. Were a disagreement over fees ever to arise between us, we would each take part in that state bar's fee-dispute process before either of us carried the matter any further.

If this letter sets out our understanding correctly, we would be grateful if you would sign the enclosed copy and return it to us, keeping the second for your own records;

on receiving it, Susan Clark will be in touch to arrange the opening session and our first request for data. We are glad to be taking up this work for Sullivan, Hall and Kelly, and we look forward to being of genuine and lasting use to you.

Laura Brown

Managing Partner

Date: February 20, 2024

Megan Wells

Director of Operations, Sullivan, Hall and Kelly

Date: February 20, 2024